

Use Alternate Account for Straight-Through Accounting

Oracle Cloud ERP lets you automatically replace disabled codes combinations used in accounting entries with valid ones. You therefore ensure the accounting process completes without issue.

As the business re-organizes itself to respond to new market challenges and opportunities, the accounts used to record and report your results evolve.

In this context, you disable accounts, cost centers, or other segment values that are no longer active to ensure they are no longer used. Then you run the Inherit Segment Value Attributes process from the Scheduled Processes page to automatically disable all account combinations containing those values. Users will not be able to select them in manual entries. You change the setup of automated processing to generate the entries with the new expected values.

However, there may be inflight transactions, such as purchase or sales orders, payable invoices, or receivable transactions, for example, with code combinations already defined. Subsequent accounting for those inflight transactions will fail after you disable those combinations that would be re-used. You want to avoid these issues, in particular at period end when deadlines are tight.

In this blog we highlight how alternate accounts can help remove these roadblocks during period close.

Use Alternate Account to Ensure the Accounting Process Completes Without Issue

Define alternate accounts to replace invalid combinations in generated accounting entries. That way, the accounting process will not stop because of invalid combinations. This automatic replacement applies to journal import and subledger Create Accounting process but not to manual transaction entries.

Often users don't choose the account combinations, the values are defaulted from setup or generated by the subledger accounting rules engine. In cases such as these listed below, you can end up with invalid combinations:

- Entries created by the accounting engine according to the rules still pointing to old accounts, not yet modified. (read related blog article "Mapping Defaults vs Subledger Suspense Accounting")
- Corrections or reversals of existing transactions, that reference the original accounts.

- Entries imported from legacy systems.
- Subsequent processing of open transactions such as purchase and sales orders, payable and receivable invoices.

In such cases the accounting process may fail because of invalid account combinations. Identifying the source transaction to correct is time consuming. It may be within Oracle Cloud ERP or in a legacy system, which will be even more time consuming. This delays the entire close process.

When you define alternate accounts, you streamline the accounting process. The invalid combinations are automatically replaced. You ensure that the accounting process doesn't fail because of invalid combinations. You save users efforts to analyze errors, identify source transactions, correct them, and re-run the process.

This contributes to a faster close and gives users the ability to focus on more business activities.

Setup the Alternate Account

You can setup the alternate account in two different ways, through the user interface (UI) or by bulk upload using file-based data import (FBDI).

Manage Account Combinations

Use the Manage Account Combinations UI to setup alternate accounts if you only need to do a handful.

You can setup the alternate accounts in the Manage Account Combinations UI for low volume.

In the example below, after August 31st 2022, you must use account 400400 instead of 400000. For account combination 40-400000-000-000, we define 40-**400400**-000-000 as alternate account.

If after August 31th 2022, a newly generated entry uses the code combination 40-400000-000-000, the system will automatically replace it with 40-**400400**-000-000.

You can setup alternate account for one or multiple segments. The balancing segments cannot have alternate value, you must use the same value as that in the original combination.

Manage Account Combinations ?

▲ Search

* Chart of Accounts Equals Spain Accounting Flexfield

Enabled Equals

Co Equals 40 X

Acct Equals 400000 X

Search Results

View ▼ Format ▼ + ✕ 📅 📄 Detach ◀ Wrap Create in Spreadsheet

	Enabled	Account				Account Type	From Date	To Date	Preserve Attributes	Allow Posting	Alternate Account
		Co	Acct	Ctr	Prod						
	☒	40	400000	000	000	Liability	1/1/00	8/31/22	☐	☒	40.400400.000.000

Figure 1. Example of alternate account definition through the Manage Account Combination user interface.

Manage Account Combinations

Search

*** Chart of Accounts** Equals Spain Accounting Flexfield

Enabled Equals

Co Equals 40

Acct Equals 400000

Search Results

View

Format

Detach

Wrap

Create in Spreadsheet

m/d/yyyy

m/d/yyyy

Account				Account Type	From Date	To Date	Preserve Attributes	Allow Posting	Alternate Account	
Enabled	*	*	*							
	Co	Acct	Ctr	Prod						
☒	40	400000	000	000	Liability	1/1/00	8/31/22	☐	☒	40.400400.000.000

Figure 1. Example of alternate account definition through the Manage Account Combination user interface.

Import Account Combinations FBDI

You can use the [Import Account Combinations FBDI](#) spreadsheet to bulk update existing account combinations with alternate accounts.

The example above would be handled as follows.

AutoSave OFF

AccountCombinationsImportTemplate - Spain

HomeInsertDrawPage LayoutFormulasDataReviewViewAutomateDeveloperTell me

ShareCom

AH11fx

	A	B	C	D	E	F	AG	AH	AI	AJ	AK
2	Account Combinations Import						Validate Account Combinations				
3	* Required										
4	*Chart of Accounts Code	Enabled	Segment1	Segment2	Segment3	Segment4	Allow Posting	From Date	To Date	Preserve Attributes	Alternate Account
5	SPAIN_ACCOUNTING_FLEXFIELD	Y	40	400000	000000	000000	Y	1/1/00	8/31/22	Y	40.400400.000000.000000
6											

Figure 2. Example of alternate account definition through the Account Combinations Import FBDI.

Choose Alternate Accounts

Correct Account

Use a new account value instead of an old one, 400400 instead of 400000 in the example above. For existing combinations with account 400000, define alternate accounts substituting 400000 with 400400 and keeping the other segments.

Suspense Account

Use a suspense account for cases which may not be straight forward with a clear single alternate account. When you use a suspense account and a balance exists, you need to review the detail and potentially reclassify the data.

Identify the Account Replaced by Alternate Account

Subledger transaction - Online Accounting

When you create accounting online, e.g. through Account in Draft or Post to Ledger in Payables, if an account is replaced by an alternate account, a warning message will pop up: *“Accounting completed with warning. Details: View the warning details from the View Accounting window.”*

Manage Invoices ?

Search Results

ALT_ACC-1

Invoice Details

Invoice Date

9/30/22

Invoice Type

Standard

Supplier or Party

Netting Automation 22A - Sprint E

Supplier Site

22A-E4

Address

22A-E4, Malaga, -1111

Invoice Amount

0.00 EUR

Applied Prepayments

0.00 EUR

Business Unit

Vision Spain

Payment Business Unit

Vision Spain

Payment Terms

Immediate

Payment Currency

EUR

Attachments

None +

Canceled

Actions

Save

Save and Close

Cancel

Warning

Accounting completed with warnings.

Details: View the warning details from the View Accounting window.

View Accounting

OK

Lines

Holds and Approvals

Payments

Installments

Items

View

Detach

Line	Amount	Description	Quantity	Price	UOM Name	Purchase Order			Receipt	
						Number	Line	Schedule	Number	Lir

Figure 3. Warning message being displayed on the Edit Invoice user interface during the online accounting.

You see the detail in the Accounting Lines UI when you click on **View Accounting**. The account used is 40.400400.000.000. There is a message with detail: “Subledger Accounting used an alternate account as the original account 40.400000.000.000 is invalid”.

Accounting Lines: Standard Invoice ALT_ACC-1

Ledger: Vision Spain Date: 9/30/22

View T-Accounts Detach Override Account Analyze Journal Entry

Line	Type	Event	Legal Entity Name	Account	Overridden Account	Override Reason
1	Actual	Invoice Validated	Hacienda Pública	40.611000.000.000		
2	Actual	Invoice Cancelled	Hacienda Pública	40.400400.000.000		
Line Description: expense expense Message: 1. Subledger Accounting used an alternate account because original account 40.400000.000.000 isn't valid.						
3	Actual	Invoice Cancelled	Hacienda Pública	40.400400.000.000		

Figure 4. Payable invoice Accounting Lines user interface displaying the message that Subledger Accounting used an alternate account as the original account is invalid.

Subledger transaction - Batch Accounting

For batch accounting, the **Create Accounting Execution Report** displays the warning messages in the “Journal Entry Errors and Warnings” section.

Create Accounting Execution Report

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Journal Entry Errors and Warnings						
Event Class	Event Type	Ledger	Transaction Number	Journal Entry Status	Journal Line Number	Error and Warning Message
Credit Memos	Credit Memo Validated	VS CAN Secondary Ledger	QA_NET_AP31 439723-1	Final	1	Subledger Accounting used an alternate account as the original account 40.400000.000.000 is invalid.
Credit Memos	Credit Memo Validated	VS CAN Secondary Ledger	QA_NET_AP31 439723-1	Final	4	Subledger Accounting used an alternate account as the original account 40.400000.000.000 is invalid.
Credit Memos	Credit Memo Validated	VS CAN Secondary Ledger	QA_NET_AP32 047392-2	Final	1	Subledger Accounting used an alternate account as the original account 40.400000.000.000 is invalid.
Credit Memos	Credit Memo Validated	VS CAN Secondary Ledger	QA_NET_AP32 047392-2	Final	4	Subledger Accounting used an alternate account as the original account 40.400000.000.000 is invalid.

Figure 5. Create Accounting Execution Report displaying the message that Subledger Accounting used an alternate account as the original account is invalid.

You'll also see alternate account warnings in the Manage Accounting Errors page, Error Category: Warning.

Vision Spain
Process ID: 87070.

Journal Import Execution Report

Date: 2022-09-30 15:37
Page: 1

Journal Entry Source Name	Group ID	Status	Total Lines	Total Batches	Total Headers	Unbalanced Batches	Unbalanced Headers	Flex Errors	Nonflex Errors
Manual		123 Success	2	1	1	0	0	1	0
*** TOTALS ***			2	1	1	0	0	1	0

...

===== Error Lines =====

Error Code	Source	Accounting Date	Currency	Entered Debit	Entered Credit Account
EF01,WF01	Manual	2022-09-30	EUR	100	0 40.400000.000.000

...

===== Error Key =====

...

Flexfield Error Codes

- EF01 The account is inactive for the accounting date.
- EF02 Detail posting isn't allowed for this account.
- EF03 There are disabled accounts.
- EF04 The account is invalid. Check your cross validation rules and segment values.
- EF05 There is no account with this account combination ID.
- EF06 The alternate account is invalid.
- WF01 An alternate account was used instead of the original account.
- WF02 A suspense account was used instead of the original account.

Figure 7. Journal Import Execution Report displaying error codes informing users that an alternate account was used instead of the original account.

The journal line description stores the original account replaced by the alternate account.

payment will be accounted to a different liability account. If you need to balance the original account, you will need to create a manual journal after re-enabling the old account temporarily.

Conclusion

When you disable segment values and related account combinations, you update the setup to ensure that new transactions will not be processed with these values anymore. However, inflight transactions or corrections to existing transactions can result in accounting entries generated with invalid combinations.

Setup alternate accounts to ensure straight-through processing of accounting entries. You remove the burden of analysis and corrections during the time critical period end.